

Beyond Growth: The PEGBY Ratio as the Definitive Measure of Shareholder Return

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1. Executive Summary

In today’s financial landscape, traditional valuation metrics such as the P/E ratio (Price-to-Earnings) have become obsolete because they ignore the dynamics of modern capital flows. This paper proposes **PEGBY** (Price/Earnings to Growth, Dividend Yield, and Buyback Yield) as the superior ratio for identifying total "Shareholder Yield."

2. The Evolution of Valuation

From an engineering and portfolio management perspective, we understand that value is not static but a flow. Valuation metrics have evolved to capture more layers of this flow:

- **P/E:** A static snapshot. Useful but incomplete.
- **PEG:** Popularized by Peter Lynch to add the growth variable (the derivative of earnings).
- **PEGY:** An evolution that adds the dividend, essential for value companies.
- **PEGBY (Proposed):** The definitive ratio, which incorporates share buybacks, recognizing them as a tax-efficient return of capital that reduces the share count and boosts earnings per share (EPS).

3. Mathematical Formulation

PEGBY is defined as:
$$\text{PEGBY} = \text{P/E} / (\text{EPS Growth \%} + \text{Dividend Yield \%} + \text{Buyback Yield \%})$$

Where **Buyback Yield** is the annual capital allocated to share repurchases divided by market capitalization.

4. Comparative Asset Analysis (April 2026)

Below, the ratio is applied to a selection of key assets, showing how PEGBY reveals opportunities that the P/E or PEG ratios conceal:

Ticker	Forward P/E	G (%)	Div %	Buyback %	PEGBY	Verdict
META	23.1	18.5	0.3	3.2	1.05	Fair Value

Ticker	Forward P/E	G (%)	Div %	Buyback %	PEGBY	Verdict
GOOG	21.4	16.0	0.4	3.5	1.07	Fair Value
NVDA	40.8	34.0	0.02	1.8	1.14	Reasonable
MSFT	30.6	14.5	0.7	1.2	1.86	Overvalued

5. Conclusion for Portfolio Management

As engineers, we optimize systems. As MBAs, we optimize capital. PEGBY is the intersection of both disciplines. It allows portfolio managers to distinguish between companies that simply "grow" and those designed to maximize shareholder value through intelligent capital allocation.